

EZCA

INDIAN PARTNERSHIP ACT, 1932

📖 KEYWORDS MINI REVISION FOR YOUR LAST MOMENT REVISION

Enacted: 1932 | In Force: 1 October 1932 | Based on English Partnership Law

UNIT 1 — GENERAL NATURE OF PARTNERSHIP

📖 1. INTRODUCTION

Key Fact	Detail
Act Enacted	1932
Came Into Force	1 October 1932
Based On	English Partnership Law
Governs	Partnership firms, partners, mutual rights & duties

📖 2. DEFINITION OF PARTNERSHIP ★★★★★

Section 4

Partnership = Relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all.

Key Elements of Partnership ★★★★★

1

Association of Two or More Persons

Minimum = 2. Maximum: Banking → 10 | Other business → 20.

2

Agreement

Result of contract — NOT status. Can be express or implied.

3

Business

Real business required. Profession included. Continuous activity.

4

Sharing of Profits

Essential test. Sharing losses is NOT compulsory.

5

Mutual Agency ★★★

MOST IMPORTANT TEST. Partner = agent + principal. Acts of one bind all. 'True test of partnership'.

3. TRUE TEST OF PARTNERSHIP ★★★★★**True Test**

MUTUAL AGENCY — not profit sharing alone, not joint ownership, not common business.

Profit sharing alone is NOT conclusive proof of partnership**4. PARTNERSHIP vs CO-OWNERSHIP ★★★★★**

Basis	Partnership	Co-ownership
Origin	Agreement between parties	Status or contract
Mutual Agency	Exists — partners are agents	No mutual agency
Profit Motive	Yes — essential	Not necessary
Transfer of Interest	Restricted — needs consent	Freely transferable

5. TYPES OF PARTNERS ★★★★★**1****Active / Actual / Ostensible Partner**

Participates in business. Unlimited liability. Public notice needed on retirement.

2**Sleeping / Dormant Partner**

Does NOT participate. Liability unlimited. Public notice NOT necessary on retirement.

3**Nominal Partner**

Lends name only. No profit share. Liable to third parties.

4**Partner in Profits Only**

Shares profits only. Liable to third parties.

5**Minor Partner ★★ [Section 30]**

Cannot become partner. Can be admitted to benefits only. Liability limited to share in firm. Within 6 months of majority must elect. Failure to elect = deemed partner.

6**Partner by Estoppel / Holding Out ★★ [Section 28]**

If person represents himself as partner OR allows such representation → liable to third parties who act on that belief.

6. PARTNERSHIP DEED ★★★★★**Partnership Deed**

Written agreement between partners that defines all rights, duties, and obligations.

Contents of Partnership Deed

Firm Name	Nature of Business	Capital Contribution	Profit-Sharing Ratio
Interest on Capital	Drawings	Salary / Commission	Admission & Retirement

Importance: Avoids disputes — clearly defines rights & duties of all partners

7. TYPES OF PARTNERSHIP ★★★

Type	Section	Meaning	How Dissolved
Partnership at Will	Section 7	No fixed duration, no specific purpose	By written notice by any partner
Particular Partnership	Section 8	Formed for specific venture or specific period	On completion of venture or expiry of period

8. PROPERTY OF FIRM ★★★

Section 14	Firm property includes: property brought into business, property acquired for/by firm, and goodwill of the firm.
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Goodwill ★★★	Reputation / value of firm. Can be sold separately. Treated as property of firm.
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9. FIRM NAME ★★

- ▶ Firm can sue and be sued in firm name
- ▶ Partnership firm has NO separate legal entity (unlike company/LLP)

10. RELATION OF PARTNERS TO THIRD PARTIES ★★★★★

Section 18	Partner = Agent of the firm. Acts bind the firm if done in usual course of business within authority.
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UNIT 2 — RELATIONS OF PARTNERS**1. GENERAL DUTIES OF PARTNERS ★★★★★**

Section 9	Partners must: carry business for common advantage, be just & faithful to each other, give true accounts, provide full information.
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2. DUTIES OF PARTNERS ★★★★★

Section	Duty
Section 10	Indemnify firm & partners for any loss caused by fraud
Section 13	Attend to business diligently; no extra remuneration unless agreed
Section 13	Share losses equally (unless agreed otherwise)
Section 13	Interest on capital only if agreed in partnership deed
Section 13	Interest on advances by partner = 6% per annum
Section 16 ***	Account for secret profits; cannot carry on competing business without consent

3. RIGHTS OF PARTNERS ★★★★★

Participate in Business	Access Books	Be Consulted	Equal Profits
Interest on Advances	Indemnification	Share in Surplus on Dissolution	

4. IMPLIED AUTHORITY OF PARTNER ★★★★★

Section 19	Partner can bind firm by acts done in the usual/ordinary course of business of the firm.
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Acts WITHIN Implied Authority	Acts BEYOND Implied Authority (Need Consent)
Buy or sell goods	Submit dispute to arbitration
Receive payments on behalf of firm	Open bank account in own name
Issue cheques	Transfer immovable property
Hire employees	Admit liability in any suit
Pay firm debts	Withdraw a suit filed by firm
	Acquire immovable property for firm

5. EXTENT OF LIABILITY ★★★★★

Section 25	Joint & Several Liability — all partners are jointly and severally liable for all acts of the firm.
Section 26	Firm liable for wrongful acts of a partner done in ordinary course of business.
Section 27	Firm liable when a partner misapplies money or property received from third party.

6. ADMISSION & RETIREMENT OF PARTNER ★★★★★

Event	Section	Key Rules
Admission	Section 31	Requires consent of ALL partners. New partner NOT liable for acts before admission.
Retirement	Section 32	By: consent of all / agreement / written notice (at will). Liability continues until public notice given.
Expulsion	Section 33	Valid only if: in good faith + power exists in agreement.
Insolvency	Section 34	Insolvent partner ceases to be partner. Estate not liable after insolvency order.
Death	Section 35	Firm dissolved unless agreement says otherwise. Estate not liable after death.

7. TRANSFER OF INTEREST ★★★**Section 29**

Transferee rights: receive share of profits ONLY. Cannot interfere in business or inspect books.

8. OUTGOING PARTNER ★★★★**Section 36**

Outgoing partner MAY compete with firm & advertise own business. Restrictions are valid only if they are reasonable.

9. CONTINUING GUARANTEE ★★★**Section 38**

Continuing guarantee is revoked by: change in constitution of firm OR death of a partner.

10. MINOR PARTNER AFTER MAJORITY ★★★★★

Decision	Consequence
Elects to BECOME partner within 6 months of majority	Becomes personally liable from date of admission to benefits
Elects NOT to become partner within 6 months	Liability limited to share during minority only
FAILS to make any decision within 6 months	Deemed to have become a partner — full personal liability

UNIT 3 — REGISTRATION AND DISSOLUTION OF FIRM**1. REGISTRATION OF FIRM ★★★★★**

Registration is OPTIONAL — NOT compulsory under the Act

Procedure — Section 58

Step 1	File application with Registrar of Firms in prescribed form with prescribed fee
▼	
Step 2	Application signed by all partners or their authorized agents
▼	
Step 3	Registrar records entry in Register of Firms
▼	
Step 4	Registrar issues Certificate of Registration

Contents of Application

Firm Name	Principal Place	Other Places	Date Each Partner Joined	Names & Addresses	Duration
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Prohibited Words in Firm Name (without Govt approval)

Crown	Emperor	Empress	Royal	King	Queen
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2. REGISTRATION BY REGISTRAR ★★★

Provision	Detail
Section 59	Registrar records entry + issues certificate. Registration complete on filing application.
Section 59A — Late Registration	Penalty = ₹100 per year of delay

3. CONSEQUENCES OF NON-REGISTRATION ★★★★★

Section 69	Non-registration creates serious disabilities for the firm & partners.
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Disabilities (What You CANNOT Do)

Disability	Detail
No suit against third parties	Unregistered firm / partners cannot sue third parties to enforce rights
No set-off claim above ₹100	Cannot claim set-off exceeding ₹100 in unregistered firm
Partner cannot sue firm	Partner of unregistered firm cannot sue firm or other partners
Third party CAN always sue firm	Third parties are NOT affected — they can always sue the unregistered firm

Exceptions — Rights NOT Affected by Non-Registration ★★★

Third Party Rights	Suit for Dissolution	Accounts of Dissolved Firm	Realisation of Property
Official Assignee Rights	Set-off ≤ ₹100	Criminal Proceedings	

4. DISSOLUTION OF FIRM ★★★★★**Section 39**

Dissolution of Firm = dissolution of partnership between ALL partners of the firm.

Basis	Dissolution of FIRM	Dissolution of PARTNERSHIP
Business	Discontinued — wound up	Continues with remaining partners
Books	Final closure	No final closure
Winding Up	Yes	No
Scope	Entire firm ceases	Reconstitution — change in partners

5. MODES OF DISSOLUTION ★★★★★**A. WITHOUT COURT — Sections 40 to 43**

Mode	Section	Conditions
By Agreement	Section 40	Consent of all partners OR as per agreement
Compulsory Dissolution	Section 41	Business becomes unlawful OR all/all but one partners become insolvent
On Contingencies	Section 42	Expiry of fixed term / completion of venture / death / insolvency — subject to contract
By Notice	Section 43	Only for Partnership at Will — written notice — effective on date mentioned or date of communication

B. DISSOLUTION BY COURT — Section 44 ★★★★★

Ground	Detail
Insanity	Partner becomes of unsound mind
Permanent Incapacity	Partner permanently incapable of performing duties
Misconduct	Partner guilty of conduct affecting business prejudicially
Persistent Breach	Embezzlement, wrong accounts, refusal to show accounts
Transfer of Interest	Partner transfers entire interest to third party
Continuous Losses	Business cannot be carried on except at a loss
Just & Equitable Grounds ★★★	Deadlock, no mutual confidence, gambling by partner, loss of substratum of business

6. CONSEQUENCES OF DISSOLUTION ★★★★★

Section	Provision
Section 45	Liability of partners continues until public notice of dissolution. Exceptions: deceased, insolvent, dormant partners.
Section 46	Partners entitled to winding up & distribution of surplus assets.
Section 47	Authority of partners continues after dissolution — but only for purpose of winding up.

Section 48 — Settlement of Accounts ★★★★★

Order	Losses Paid From	Assets Applied To
1st	Profits	Third party debts
2nd	Capital	Partner loans
3rd	Partners individually (equally)	Capital returned to partners
4th	—	Surplus distributed among partners

Section 49

Firm property applied FIRST for firm debts. Separate/personal property applied FIRST for personal debts of partners.

7. MOST IMPORTANT SECTIONS ★★★★★

Section	Topic
Section 4	Definition of Partnership
Section 7	Partnership at Will
Section 8	Particular Partnership
Section 9	General Duties of Partners
Section 13	Mutual Rights & Duties
Section 16	Personal Profits — Secret Profit
Section 18	Partner as Agent of Firm
Section 19	Implied Authority of Partner
Section 25	Joint & Several Liability
Section 27	Misapplication of Property
Section 28	Partner by Holding Out / Estoppel
Section 29	Transfer of Partner's Interest
Section 30	Minor Partner
Section 31	Admission of Partner

Section 32	Retirement of Partner
Section 33	Expulsion of Partner
Section 34	Insolvency of Partner
Section 39	Dissolution of Firm
Sections 40–44	Modes of Dissolution
Sections 45–49	Consequences of Dissolution
Section 58	Registration of Firm
Section 69	Consequences of Non-Registration

🔗 🔗. GOLDEN REVISION LINES

Mutual Agency is the TRUE TEST of Partnership

Partnership arises from CONTRACT — not status

Minor CANNOT become partner but CAN be admitted to benefits

Registration is OPTIONAL but practically necessary

Partner = Agent of FIRM and other partners

Dissolution of Firm = dissolution between ALL partners

Public notice protects outgoing partner from future liability

All the best! You've got this 🍀

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